Massachusetts Change State Tax Revenue Limit Initiative (2026)

Massachusetts Change State Tax Revenue Limit Initiative

Election date
November 3, 2026

Topic
Revenue and spending limits

Status
Cleared for signature gathering

Type	**Origin**
Indirect initiated state statute	Citizens

The **Massachusetts Change State Tax Revenue Limit Initiative** may be on the ballot in Massachusetts as an indirect initiated state statute on November 3, 2026.

Overview

What would the ballot initiative do?

See also: Text of measure

The ballot initiative would change the method of calculating the state tax revenue limit.[1] As of 2026, Massachusetts has a state tax revenue limit that sets the maximum amount of tax revenue the state can collect in a given tax year.[2] Any tax revenue collected by the state over the limit must be refunded to taxpayers the following year. The ballot initiative would change the method of calculating the limit so that it is equal to the sum of:[1]

- the net amount of state revenue from the year prior, and
- the average growth of wages and salaries in Massachusetts over the past three years.

As of 2026, the state tax revenue limit is equal to the sum of:[2]

- the state tax revenue limit for the prior tax year, and
- the average growth of wages and salaries in Massachusetts over the past three years.

In effect, the initiative would result in a decrease potential state tax revenue limit each year compared to the current system of calculating the limit, because the new limit would be calculated based on the actual revenue collected by the state instead of the maximum amount of revenue the state could have collected.[3]

The initiative would also explicitly add income tax revenue collected under Section 2BBBBBB of Chapter 29 of Massachusetts law to the state's definition of *State Tax Revenue*, thus using that revenue to calculate the state tax revenue limit. That section implements an additional 4% tax on annual income that is greater than $1,000,000.[4] The additional income tax rate, sometimes referred to as the *millionaire's tax*, was implemented when voters approved Question 1 in 2022.[5] As of 2026, the revenue collected from the *millionaire's tax* is not included in the legal definition of *State Tax Revenue* and is not generally used to calculate the state tax revenue limit.

Text of measure

Full text

The full text of the ballot measure can be found here.

Support

Supporters

Organizations

- Massachusetts Competitive Partnership
- Massachusetts Fiscal Alliance
- Massachusetts High Technology Council
- National Federation of Independent Business
- Pioneer Institute
- Retailers Association of Massachusetts

Arguments

- **Massachusetts Opportunity Alliance:** "The current revenue cap has not constrained budget growth, instead budget spending levels have grown at nearly double the rate of Massachusetts average wages and local inflation. Under the revised revenue limit rooted in actual tax collections, Massachusetts taxpayers would have received a refund 24 times in the last four decades. This amounts to nearly $19 billion in taxes that should have been given back to taxpayers."
- **Jim Stergios, executive director of the Pioneer Institute:** "Massachusetts needs to abandon the tax-and-spend mentality that's making it harder for people and businesses to thrive. If we don't do something to control state spending and bring relief to residents, data and experience show we will continue to bleed talent and tax revenue. We look forward to educating the public on these policies that encourage fiscal responsibility and ease the burden on taxpayers as the cost-of-living continues to rise."
- **Paul Craney, executive director of the Massachusetts Fiscal Alliance:** "Fixing the 62F Tax Cap Loophole is a no-brainer. Voters wanted guardrails

on runaway spending, with automatic rebates to taxpayers triggered when the state collects too much, and that's exactly what makes the 62F law so popular. Due to loopholes and exclusions, especially the carveout for new surtax revenues, the law has only been triggered twice in 40 years. Beacon Hill always finds ways around the law as it's currently written. This fix closes the loopholes and restores the taxpayer protections voters overwhelmingly approved."

Opposition

Protect Massachusetts' Future is leading the campaign in opposition to the initiative.[6]

Opponents

Officials

- Senate President Karen Spilka (D)

Unions

- 1199SEIU
- Massachusetts Teachers Association
- SEIU Local 609
- SEIU Massachusetts State Council

Organizations

- Massachusetts Budget and Policy Center

Arguments

- **Senate President Karen Spilka (D):** "I do want to mention that the lower the income tax from 5% to 4% is sponsored by millionaires. Millionaires will get $10,000 back from that ballot initiative, folks making minimum wage will get $300 back."
- **Protect Massachusetts' Future:** "Together, these initiatives would force towns and cities across Massachusetts to lay off thousands of hard-working teachers, police officers, and firefighters, leaving families to pay the price for corporate greed. Hospitals, nursing homes, schools and colleges could be forced to close their doors, leaving us all worse off. These measures would

strip billions of dollars from classrooms, hospitals, and research that Massachusetts communities depend on."

- **Protect Massachusetts' Future:** "The Massachusetts Competitive Partnership and Massachusetts Opportunity Alliance are leading an effort to gut the state's budget and drain money from education, research, and healthcare, eliminating hundreds of thousands of jobs. Backed by wealthy investors and CEOs, the groups are attempting to put two questions on the November 2026 ballot that would eliminate nearly 12% of state revenue to hand out tax breaks to the rich."
- **Phineas Baxandall, director of research and policy analysis at the Massachusetts Budget and Policy Center:** "The ballot initiative would make the already flawed mechanism of the 62F law far more constraining over time. By ratcheting down the growth of Computed Maximum State Tax Revenues every time actual revenue growth is slow or is reduced the next year by a 62F refund, the policy would tend to continually reduce the cap on state revenues available for budgetary purposes. The result will be often unpredictable budget cuts and the abandonment of planned public investments. On top of that, because the triggered diversions of revenue into 62F payments will tend to follow a recession, the new rules will impair the state's ability to make investments at just the time when they are most needed to jumpstart the economy."
- **SEIU Local 509 President David Foley:** "Corporations in the state, they want a stable workforce, and they want a stable state, and this would completely destabilize the workforce and destabilize the working infrastructure in Massachusetts. Seven billion dollars out of a $61 billion budget is devastating. It would completely upend the Massachusetts State House and what they do, and create chaos, and chaos isn't good for business."

Campaign finance

See also: Ballot measure campaign finance, 2026

The campaign finance information on this page reflects the most recent scheduled reports that Ballotpedia has processed, which covered through **January 20, 2026**. The deadline for the next scheduled reports is **September 4, 2026.**

Taxpayers for an Affordable Massachusetts registered as the committee in support of the measure. **Protect Massachusetts Future** registered as the committee in opposition to the measure.[7]

Taxpayers for an Affordable Massachusetts also registered to support, and **Protect Massachusetts Future** registered to oppose, the initiative that would have decreased the state income tax rate from 5% to 4%.[7]

	Cash Contributions	In-Kind Contributions	Total Contributions	Cash Expenditures	Total Expenditures
Support	$100,000.00	$1,607,296.40	**$1,707,296.40**	$0.00	$1,607,296.40
Oppose	$0.00	$0.00	**$0.00**	$0.00	$0.00
Total	**$100,000.00**	**$1,607,296.40**	**$1,707,296.40**	**$0.00**	**$1,607,296.40**

Support

The following table includes contribution and expenditure totals for the committees in support of the measure.[7]

Committees in support of Change State Tax Revenue Limit Initiative					
Committee	**Cash Contributions**	**In-Kind Contributions**	**Total Contributions**	**Cash Expenditures**	**Total Expenditures**
Taxpayers for an Affordable Massachusetts	$100,000.00	$1,607,296.40	$1,707,296.40	$0.00	$1,607,296.40
Total	**$100,000.00**	**$1,607,296.40**	**$1,707,296.40**	**$0.00**	**$1,607,296.40**

Donors

The following were the top donors who contributed to the support committees.[7]

Donor	Cash Contributions	In-Kind Contributions	Total Contributions
Massachusetts Opportunity Alliance	$0.00	$1,600,000.00	$1,600,000.00
Massachusetts High Technology Council	$50,000.00	$7,296.40	$57,296.40

Pioneer Institute	$50,000.00	$0.00	$50,000.00

Opposition

The following table includes contribution and expenditure totals for the committees in opposition to the measure.[7]

Committees in opposition to Change State Tax Revenue Limit Initiative					
Committee	**Cash Contributions**	**In-Kind Contributions**	**Total Contributions**	**Cash Expenditures**	**Total Expenditures**
Protect Massachusetts Future	$0.00	$0.00	$0.00	$0.00	$0.00
Total	**$0.00**	**$0.00**	**$0.00**	**$0.00**	**$0.00**

Methodology

To read Ballotpedia's methodology for covering ballot measure campaign finance information, click here.